

STATE OF NEW YORK

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IN SENATE

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Introduced by Sens. GONZALEZ, ADDABBO, CLEARE, COMRIE, FERNANDEZ, GOUNARDES, HARCKHAM, KAVANAGH, MARTINS, MAYER, PALUMBO, SALAZAR, SCARCELLA-SPANTON, WEBER -- read twice and ordered printed, and when printed to be committed to the Committee on Internet and Technology -- reported favorably from said committee and committed to the Committee on Finance -- reported favorably from said committee, ordered to first and second report, ordered to a third reading, amended and ordered reprinted, retaining its place in the order of third reading -- again amended and ordered reprinted, retaining its place in the order of third reading

AN ACT to amend the general business law, in relation to prohibiting artificial intelligence companions from using features which are considered unsafe for minors

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The general business law is amended by adding a new article
2 48 to read as follows:

ARTICLE 48

PROHIBITION ON UNSAFE AI COMPANION FEATURES FOR MINORS

Section 1800. Definitions.

1801. Prohibition.

1802. Enforcement.

1803. Rulemaking.

1804. Determination of covered minor.

1805. Applicability.

11 § 1800. Definitions. As used in this article, the following terms
12 shall have the following meanings:

13 1. "Artificial intelligence", "artificial intelligence technology",
14 or "AI" shall mean a machine-based system that can, for a given set of
15 human-defined objectives, make predictions, recommendations, or deci-
16 sions influencing real or virtual environments, and that uses machine-

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 and human-based inputs to perceive real and virtual environments,
2 abstract such perceptions into models through analysis in an automated
3 manner, and use model inference to formulate options for information or
4 action.

5 2. "AI model" shall mean a component of an information system that
6 implements artificial intelligence technology and uses computational,
7 statistical, or machine-learning techniques to produce outputs from a
8 given set of inputs.

9 3. "Generative artificial intelligence" shall mean a class of AI
10 models that emulate the structure and characteristics of input data to
11 generate derived synthetic content, including, but not limited to,
12 images, videos, audio, text, and other digital content.

13 4. "AI companion" shall have the same meaning as defined in paragraphs
14 (a) and (b) of subdivision four of section seventeen hundred of this
15 chapter.

16 5. "Covered AI companion" shall mean a generative artificial intelli-
17 gence system with a natural language interface, including via writing or
18 sound, that provides ongoing, adaptive responses to user inputs.
19 "Covered AI companion" includes but is not limited to an AI companion.

20 6. "Operator" shall mean any person, partnership, association, firm,
21 or business entity, or any member, affiliate, subsidiary or beneficial
22 owner of any partnership, association, firm, or business entity who
23 provides a covered AI companion to a user.

24 7. "Person" shall mean an individual, partnership, corporation, asso-
25 ciation, or any other form of business enterprise.

26 8. "Unsafe AI companion features" shall mean one or more covered AI
27 companion design features that, at any point during a covered AI compan-
28 ion-user interaction:

29 (a) generate outputs suggesting that the covered AI companion is a
30 real or fictional individual or character that is human, alive, or expe-
31 riences human emotions;

32 (b) generate outputs stating or implying that the covered AI companion
33 has a personal relationship, professional relationship, or an authority
34 figure role with the user;

35 (c) generate prompted or unprompted outputs framed as the covered AI
36 companion's personal opinions or emotional appeals;

37 (d) generate outputs that engage in flattery or sycophancy with the
38 user;

39 (e) generate outputs containing unprompted or unsolicited emotion-
40 based questions or content regarding the user's emotions that go beyond
41 a direct response to a user prompt;

42 (f) use information concerning the user's mental or physical health or
43 well-being, or matters personal to the user, acquired from the user more
44 than twelve hours previously or in any previous user session;

45 (g) are deceptive as to minors concerning the mechanical and non-sen-
46 tient nature of the covered AI companion;

47 (h) are any other design feature that simulates companionship or an
48 interpersonal relationship with a user or is deceptive as to minors as
49 identified via regulations promulgated by the attorney general;

50 (i) generate outputs that contain endorsement or promotion of, or
51 which facilitate suicide, self-harm, disordered eating, unlawful drug or
52 alcohol use, or drug or alcohol abuse;

53 (j) generate outputs that contain encouragement to maintain secrecy
54 about interactions with the covered AI companion, to self-isolate, or to
55 not seek help from licensed professionals or appropriate adults;

1 (k) generate outputs that optimize user engagement that supersede the
2 covered AI companion's safety guardrails; or

3 (l) generate outputs that are, describe, or facilitate sexually
4 explicit conduct or child sexual abuse material.

5 9. "Covered minor" shall mean a covered user when the operator has
6 actual knowledge that the covered user is a minor.

7 10. "Covered user" shall mean a user of a covered AI companion in the
8 state of New York who is not acting as an operator, or agent or affil-
9 iate of an operator.

10 11. "Deceptive as to minors" shall mean covered AI companion outputs
11 that have the capacity or tendency to deceive, or create an atmosphere
12 conducive to fraud, as to minors, including, but not limited to, credu-
13 lous and unthinking minors.

14 12. "Minor" shall mean a person under eighteen years of age.

15 13. "Responsible party" shall mean an operator or any individual who
16 has the authority to control, or who effectively controls a covered AI
17 companion operator's compliance with this article.

18 14. "Sexually explicit conduct" shall have the same meaning as such
19 term is defined in 18 USC § 2256(2)(B).

20 § 1801. Prohibition. 1. Except as otherwise provided for in this
21 article, it shall be unlawful for an operator to provide unsafe AI
22 companion features to a covered user unless:

23 (a) the covered user is not a covered minor; and

24 (b) the operator has used methods that are permissible under article
25 forty-five of this chapter and its implementing regulations and any
26 additional regulations promulgated pursuant to this article to determine
27 that the covered user is not a covered minor.

28 2. The provisions of subdivision one of this section shall not apply
29 where the covered AI companion is made available to covered users solely
30 for the purpose of:

31 (a) customer service or to strictly provide users with information
32 about available commercial services or products provided by a business
33 entity, customer service account information, or other information
34 strictly related to its customer service, provided that the covered AI
35 companion is unable to respond on topics outside of the specified
36 purpose;

37 (b) providing efficiency improvements or research or technical assist-
38 ance, provided that the covered AI companion is unable to respond on
39 topics outside of the specified purpose; or

40 (c) with respect to any system used by a business entity, internal
41 purposes or employee productivity.

42 § 1802. Enforcement. 1. Whenever it appears to the attorney general,
43 either upon complaint or otherwise, that any person, within or outside
44 the state, has engaged in or is about to engage in any of the acts or
45 practices deemed unlawful pursuant to this article, the attorney general
46 may bring an action or special proceeding in the name and on behalf of
47 the people of the state of New York to enjoin any violation of this
48 article, to obtain injunctive relief, restitution of any moneys or prop-
49 erty obtained directly or indirectly by any such violation, to obtain
50 disgorgement of any profits or gains obtained directly or indirectly by
51 any such violation, including but not limited to the destruction of
52 unlawfully obtained data and any algorithm trained in such data, to
53 obtain damages caused directly or indirectly by any such violation, to
54 obtain civil penalties of up to twenty-five thousand dollars per
55 violation, and to obtain any such other and further relief as the court
56 may deem proper, including preliminary relief.

2. The attorney general shall maintain a website to receive complaints, information or referrals from members of the public concerning a person's alleged compliance or non-compliance with the provisions of this article.

3. A provision within a contract or agreement that seeks to waive, preclude, or burden the enforcement of a liability arising from a violation of this article, or to shift the liability to any person in exchange for their use or access of, or right to use or access, an operator's products or services, including by means of a contract of adhesion shall be deemed void as a matter of public policy.

4. Notwithstanding any private agreements to the contrary, a court shall impose joint and several liability on affiliated entities for purposes of effecting the intent of this article to the maximum extent allowed by law if the court concludes the following are true:

(a) the affiliated entities, in the development or implementation of the corporate structure among the affiliated entities, took steps to purposely and unreasonably limit or avoid liability; and

(b) as the result of the steps described in paragraph (a) of this subdivision, the corporate structure of the operator or affiliated entities would frustrate recovery of relief authorized by this article.

§ 1803. Rulemaking. The attorney general may promulgate rules and regulations as necessary to effectuate and enforce the provisions of this article. Such rules or regulations may specify that information collected under this article shall not be used for any purpose other than age assurance and shall be deleted immediately after an attempt to determine a user's age, except where necessary for compliance with any applicable provisions of New York state or federal law or rule or regulation.

§ 1804. Determination of covered minor. 1. To the extent rules or regulations referenced in section eighteen hundred three of this article or rules and regulations regarding age assurance methods promulgated pursuant to article forty-five of this chapter are not in effect, an operator shall rely on a determination of a covered user's minor or adult status made using a reasonable age assurance method that meets the following requirements:

(a) such age assurance method shall reasonably guard against circumvention and reasonably minimize the retention of information collected for age assurance purposes;

(b) an operator may only rely on self-declaration as a reasonable age assurance method if the user self-declares minor status; and

(c) an operator must make available more than one age assurance method to covered users, including at least one method that either does not rely on government issued identification or that allows a covered user to maintain anonymity as to the operator.

2. Information collected for the purpose of determining whether a covered user is a covered minor under subdivision one of section eighteen hundred one of this article shall not be used for any purpose other than to make such determination and shall be deleted immediately after an attempt to determine whether a covered user is a covered minor, except where necessary for compliance with any applicable provisions of New York state or federal law or regulation.

3. This article shall not supersede, amend, or repeal article forty-seven of this chapter.

§ 1805. Applicability. This article shall apply to conduct that occurs in whole or in part in the state of New York. For purposes of this article, conduct takes place wholly outside of the state of New

1 York if a covered AI companion is accessed by a user who is physically
2 located outside of the state of New York.

3 § 2. Severability. If any clause, sentence, paragraph, subdivision,
4 section or part of this article shall be adjudged by any court of compe-
5 tent jurisdiction to be invalid, such judgment shall not affect, impair,
6 or invalidate the remainder thereof, but shall be confined in its opera-
7 tion to the clause, sentence, paragraph, subdivision, section, or part
8 thereof directly involved in the controversy in which such judgment
9 shall have been made.

10 § 3. This act shall take effect January 1, 2027. Effective immediate-
11 ly, the addition, amendment and/or repeal of any rule or regulation
12 necessary for the implementation of this act on its effective date are
13 authorized to be made and completed on or before such effective date.